

**FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges**

TOYOTA DE PUERTO RICO, CORP.
Complainant

Docket No. 19-02

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

OPPOSITION TO PRPA’S MOTION TO STAY

TO THE HONORABLE ERIN M. WIRTH, Administrative Law Judge:

COMES NOW Complainant, Toyota de Puerto Rico Corp., (herein after “Toyota”) by and through the undersigned attorneys, and very respectfully opposes PRPA’s Motion Requesting Order to Stay Proceedings, for the following reasons:

SUMMARY OF THE ARGUMENT

PRPA’s belated Motion Requesting an Order to Stay Proceedings (“Motion to Stay”), pending resolution of the *Dantzler* appeal by the First Circuit Court of Appeals, *is not* a motion to stay proceedings pending court review. It is an end-run against PRPA’s forfeited right to seek review of the Hon. Administrative Law Judge’s July 2, 2019 Order denying its motion to dismiss. This procedural circumvention should be rejected.

Moreover, even if *Dantzler* includes a question of PRPA’s sovereign immunity, the fact is that the First Circuit resolved that question in *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11

(1st Cir. 2016). PRPA cites no intervening legal developments that may undermine *Grajales* and warrant a different result in *Dantzler*. PRPA's reliance in the Supreme Court's decision in *Thacker v. Tennessee Valley Authority*, 139 S.Ct. 1435 (2019), is misplaced. *Thacker* did not involve Eleventh Amendment immunity. It did not even mention *Hess v. Port Authority Trans-Hudson Corp.*, 513 U.S. 30 (1994), the controlling Supreme Court authority on Eleventh Amendment immunity. *Thacker* is therefore irrelevant to PRPA's argument.

Accordingly, PRPA's Motion to Stay should be denied.

DISCUSSION

The Motion to Stay should be denied as a belated end-run around PRPA's procedural omissions.

On 13, 2019, PRPA moved to dismiss the captioned complaint. Among the reasons for dismissal was its contention that it was entitled to Eleventh Amendment Immunity. On July 2, 2019, the Hon. Administrative Law Judge denied PRPA's motion to dismiss. PRPA did not seek reconsideration or review, thus waiving its right to pursue its Eleventh Amendment defense at this juncture. Instead, the parties engaged in discovery, exchanging documents and taking depositions. Now that the parties have incurred in heavy litigation expenses and the matter is ready for briefing on the merits, PRPA seeks to stay it. PRPA's clear and only purpose is to try to circumvent a procedural omission. As such, it should be rejected.

The Motion to Stay should be denied because Grajales decided the immunity question pending in Dantzler.

In 2016, the First Circuit Court of Appeals decided *Grajales v. Puerto Rico Ports Auth.*, 831 F.3d 11 (1st Cir. 2016), concluding that PRPA is not an arm of the state. *Grajales* meticulously reviewed the First Circuit's prior decisions regarding PRPA's status for Eleventh Amendment

immunity purposes, as well as the D.C. Circuit's decision in *Puerto Rico Port Authority v. Federal Maritime Commission*, 531 F.3d 868 (D.C.Cir.2008), *cert. denied*, 555 U.S. 1170 (2009). According to *Grajales*, prior First Circuit decisions regarding the PRPA focused on whether said entity's functions at issue in a particular case were governmental or not. This analysis led to different arm of the state conclusions depending on the case. *Grajales* noted that after *Hess v. Port Authority Trans-Hudson Corp.*, 513 U.S. 30 (1994), the First Circuit decided *Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico & Caribbean Cardiovascular Center Corp.*, 322 F.3d 56 (1st Cir. 2003), and revised its prior analysis accordingly.

Fresenius outlined the two-step analysis developed in *Hess* to determine whether an entity enjoys Eleventh Amendment immunity. The first step concerns how the state decided to organize the entity, in consideration of structural factors such as: the extent of state control, how the law and the state courts characterize it, whether its functions are readily classifiable as state or non-governmental functions, and whether the state is liable for its debts. If these structural indicators point in different directions, the second step of the *Hess* analysis comes into play. In this second phase, if it is clear that the state treasury is not at risk from a judgment in the case, then the control exercised by the state over the entity does not entitle it to Eleventh Amendment immunity. *Fresenius*, 322 F.3d at 65-66.

Grajales applied *Fresenius* to PRPA and, like in *Fresenius*, did not treat as dispositive the nature of the specific functions at issue in the case. *Grajales*, *supra* at 20.¹ The trial court in

¹ Although *Fresenius* and *Grajales* moved away from the case-focused duties test, PRPA insists on it. It claims to be an arm of the state for purposes of the cargo scanning program at issue in this case. This bold assertion is not borne by the evidence: PRPA was not tasked with the governmental function of implementing a national security program. It was tasked with the administrative function of implementing rapid inspection lanes so that Treasury Department

Dantzler relied on *Grajales*. PRPA has brought no intervening authority that would suggest the First Circuit would supersede *Grajales*. Instead, it points at *Thacker, supra*, a Supreme Court decision that does not deal with Eleventh Amendment immunity, and which does not even mention *Hess*.

Thacker does not deal with Eleventh Amendment immunity and is inapplicable.

In *Thacker*, the Supreme Court considered whether the *federal* government could claim that a *federal legal entity* enjoyed sovereign immunity, despite having made a clear waiver of said immunity through a “sue and be sued” clause. The Court remarked:

the Government overreaches when it says that all suits based on the TVA’s discretionary conduct will “grave[ly] interfere[]” with “governmental function[s].” *[citations omitted]* That is so, at the least, because the discretionary acts of hybrid entities like the TVA may be not governmental but commercial in nature.

Id. at p. 1443. Instead, there may be only an exception to a general waiver of federal sovereign immunity if the conduct at issue is governmental and prohibiting the suit in question is “necessary to avoid grave interference” with that function. *Id.* at p. 1444. But again, *Thacker* applies to federal entities, and does not implicate the test developed in *Hess* for state-run entities under the Eleventh Amendment.

personnel could conduct incoming cargo inspections in furtherance of its own tax fiscalization efforts. PRPA’s responsibility is merely to ensure that the process does not interrupt the free flow of commerce. **See 23 L.P.R.A. 3222(c), Exhibits of Opp. To Motion to Stay p. 1-2; Memorandum of Understanding, Recitals, pars. 1, 3 and 4, Exhibits of Opp. To Motion to Stay 3-10; and Regulation 8067, Art. I G, Art. II and Art. IV C, Exhibits of Opp. To Motion to Stay p. 11-19.**

PRPA's motion does not even address the stringent requirements of a motion to stay.

Even if PRPA's motion were a proper motion to stay, PRPA's belief that sovereign immunity may ultimately render this case moot is not a reason to stay proceedings. PRPA must, at a minimum, satisfy the stringent standards required for a stay pending court review. See *Washington Metropolitan Area Transit Commission v. Holiday Tours, Inc.*, 559 F.2d 841, 843 (D.C. Cir. 1977), developed *Virginia Petroleum Jobbers Ass'n v. FPC*. 259 F.2d 921. 925 (D.C. Cir.1958). Under these standards, PRPA must prove: (1) that it is likely to prevail on the merits of the appeal; (2) that it will be irreparably harmed absent a stay; (3) the prospect that others will be harmed if the court grants the stay; and (4) that the public interest lies in granting the stay.

PRPA does not even attempt to address these factors. In contrast, Toyota has shown the first element is absent, given the *Grajales* decision and the irrelevance of *Thacker*. PRPA must not believe it will be irreparably harmed by the absence of a stay, since it did not bother to seek it after its motion to dismiss was denied five months ago. Staying the process now, when Toyota has already been the subject of discovery and the case is ready to be briefed, is a procedural travesty. The public interest will be served by a decision regarding the legality of the electronic scanning fee.

WHEREFORE, Toyota respectfully prays as follows:

1. That PRPA's Motion to Stay be denied.
2. That Toyota not be required to file its brief while the *Motion to Stay* is decided, and that it be granted at least until December 14 to file its brief (which would account for the two business-day delay of PRPA in filing its Motion to Stay), or three days after the decision on the *Motion to Stay*, whichever is later.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico.

December 9, 2019.

CERTIFICATE OF SERVICE

We hereby certify that on this same date we served a copy of the foregoing document upon each and all parties of record through their respective attorneys by electronic mailing to the following addresses: Thomas Trebilcock, Esq.- ttrebilcock@trebilcockrovira.com

REICHARD & ESCALERA LLC

Attorneys for

Toyota of Puerto Rico

MCS Plaza, Suite 1000

255 Ave. Ponce de León

Hato Rey, PR 00918

P.O. Box 364148

San Juan, PR 00936-4148

Tel: (787) 777-8888/Fax: (787) 765-4225

RAFAEL ESCALERA RODRIGUEZ

Puerto Rico Bar No. 5,310

U.S.D.C. NO. 122609

E-mail: escalera@reichardescalera.com

SYLVIA M. ARIZMENDI

Puerto Rico Bar No. 10,337

U.S.D.C. NO. 210714

E-mail: arizmendis@reichardescalera.com

ALANA M. VIZCARRONDO SANTANA

Puerto Rico Bar No.18,840

U.S.D.C. NO. 301614

E-mail: vizcarrondo@reichardescalera.com